

Most millionaires measure their success by their net worth, not by their realized income. For the purposes of wealth building, income doesn't matter that much. Once you're in a high-income bracket, say \$100,000 or \$200,000 or more, it matters less how much more you make than what you do with what you already have.

WORKING FOR THE TAX MAN

Assume for a few moments that you are Mr. Bob Stern, a scholar who works for the IRS. One morning your manager, Mr. John Young, calls you into his office. He gives you an assignment: to enhance his understanding of the relationship between income and wealth.

Mr. Young: Bob, I keep reading reports about the growth of the millionaire population.

Mr. Stern: Yes. I have a pile of articles and clippings on the same topic in my desk.

Mr. Young: Well, here is the problem. The number of wealthy people keeps rapidly increasing. But our income tax revenue for a lot of these people is not keeping pace.

Mr. Stern: I read somewhere that the wealthiest 3.5 percent of the households in this country account for more than half of the personal wealth. But these same folks account for less than 30 percent of the income.

Mr. Young: I wish Congress would wake up. What this country needs is a tax on wealth. Even in biblical times the rich had to pay 10 percent of their wealth each year in taxes. Now that's what I call the ultimate tax reform.

Mr. Stern: I know what you mean. But sooner or later we will get 'em. Remember, it's inevitable—death and taxes.

Mr. Young: The estate tax area is not your specialty, Bob. You are a little naive on this issue. You are thinking that we